



Asia Insights

Global Markets Research

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Economics - Asia ex-Japan

China: Growth of both exports and imports quickened in May

Export growth in USD terms increased to 19.4% y-o-y in May (Consensus: 15.0%; Nomura: 13.7%), above expectations and up further from 14.1% in April. Import growth also increased to 27.4% in May from 25.3% in April, slightly above market expectations (Consensus and Nomura: 26.0%) and still highly elevated. As a result, the trade surplus widened to USD105.4bn in May from USD84.8bn in April. *As we recently flagged*, robust semiconductor trade remained the dominant driver of highly elevated export and import growth in May, with the divergence between value and volume growth widening further, as chip price increases continued to overwhelm quantity growth. We estimate chips contributed 5.9pp to headline export growth. Together with automatic data processing (ADP) equipment, which is also closely linked to the current global AI boom and contributed an additional 3.4pp, AI-related exports accounted for 9.3pp. This marks two consecutive months in which AI-related exports have accounted for around half of China's total export growth, underscoring the outsized role of the global AI supercycle. Moreover, price effects continued to play a major role in growth of both exports and imports in May.

Beyond the AI boom, export growth to the US surged to 37.3% y-o-y in May from 11.1% in April, driven by three factors, in our view. First, favourable base effects from last year's tariff war. Second, the net tariff reduction in late February after the US Supreme Court struck down the IEEPA-based tariffs – which was followed by the imposition of lower Section 122 tariffs – appears to have provided a tangible boost to China's exports to the US. Third, a sizeable proportion of demand for AI production came from the US.

On the import side, the energy shock and the semiconductor upcycle remained the two dominant forces. Crude oil imports increased further to 17.8% y-o-y in value terms in May (April: 15.4%), while they contracted sharply in volume terms by 29.0% (April: -19.5%), reflecting both the Strait of Hormuz supply disruption and Beijing's deliberate reduction of purchases amid elevated prices. Yet, by our estimates, crude oil contributed only 1.9pp to headline import growth, little changed from April's 1.8pp. The far larger driver was ICs, which alone contributed 10.8pp to May's import growth, confirming that the semiconductor price shock – rather than energy – remains the primary force behind China's elevated import performance. Growth of imports from South Korea rose further to 84.3% y-o-y in May from 63.4% in April, also signalling the strong tech import momentum.

The strong value growth of semiconductor trade remained in full force

The ongoing AI-driven global technology supercycle continues to support semiconductor trade, with the price-volume divergence widening further in May.

- Growth of integrated circuit exports in value terms increased to 110.9% y-o-y in May from 99.6% in April, while it slowed further in volume terms to just 2.1% from 3.7%, implying a price contribution of 106.5pp, which represents a significant widening from April's 92.6pp.
- ICs contributed 5.9pp to headline export growth in May – or 30.4% of the total – with the price effect alone accounting for the vast majority, underscoring the outsized impact that surging chip prices have had on nominal export growth.
- On the import side, ICs account for a larger share of imports than exports. Growth of IC imports in value terms accelerated sharply to 68.0% y-o-y in May from 54.7% in April, while it turned negative in volume terms, falling to -1.0% (April: 11.2%), with price effects contributing 69.8pp to May growth, in a dramatic widening from April's 39.2pp.
- By our calculations, ICs alone accounted for 10.8pp of headline May import growth – or 39.4% – with the price effect contributing the overwhelming majority. The sharp increase in the IC import price contribution from April's 39.2pp to May's 69.8pp likely reflected the pass-through of Q2 contract price increases for DRAM and NAND.

Export growth to most destinations remained solid with a further rebound to the US

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Thanks to a substantially low base and less restrictive tariffs, US-bound export growth rebounded further to its highest rate since March 2021. Export growth to most other destinations remained robust. On DM, export growth to the EU slowed modestly to 7.3% y-o-y in May from 13.6% in April, while export growth to Japan quickened to 10.7% y-o-y from 4.2%. Amid the semiconductor supercycle and deep processing trade along regional supply chains, export growth to South Korea accelerated to 42.7% y-o-y in May from 25.2% in April. On EM, export growth to ASEAN, India and Russia increased to 24.7% y-o-y, 19.3% and 39.3%, respectively, in May from 15.6%, 18.7% and 25.9% in April.

Growth of both exports and imports with the US rebounded further

Export growth to the US rebounded further to 37.3% y-o-y in May from 11.1% in April, marking the highest reading since March 2021, thanks to the tariff-led low base, a temporary net tariff reduction and the domestic AI boom in the US.

- First, due to the unprecedented tariff war in early April 2025, export growth to the US slumped to -20.9% y-o-y in April and -35.2% in May 2025 from 8.8% March and 4.5% in Q1 2025, resulting in favourable base effects for this year.
- Second, in late February 2026, the US Supreme Court struck down IEEPA-based tariffs (including the 10% reciprocal baseline tariff and the 10% fentanyl tariff); so following the Supreme Court ruling, the Trump administration immediately imposed a new 10% temporary tariff based on the Section 122. Based on our estimates, following the termination of IEEPA-related tariffs and the imposition of Section 122 tariffs in late February, the effective US tariff rate on China dropped to 27.7% in March. In mid-May, the US Treasury Secretary Scott Bessent confirmed that China in recent months has faced lower tariff rates due to US Supreme Court's decision striking down President Trump's global emergency duties, according to *Reuters*.

Import growth from the US also rebounded further to 20.4% y-o-y in May from 9.0% in April, thanks to a low base. Although May data on the amount of soybean imports from the US have not yet been released, overall soybean import growth in value terms plunged to -10.3% y-o-y in May from 49.3% in April. As a result, China's trade surplus with the US widened to USD26.0bn in May from USD23.1bn in April and USD18.0bn in May 2025.

Recent tariff policy developments

On 2 June, the Trump administration announced new Section 301 tariffs of 10.0-12.5% on 60 trade partners, with 12.5% on China, largely aimed at replicating the IEEPA tariff framework after Section 122 tariffs expire on 24 July. Our US economics team views the move mainly as an effort to preserve continuity in the trade regime rather than a meaningful escalation, and their estimate for the terminal effective tariff rate **remains unchanged at 8-9%**. In our view, exporters might rush to frontload exports to the US in anticipation of likely higher tariffs in H2. However, according to the Ministry of Commerce, the US will likely keep its tariffs on China from exceeding the level agreed upon in **Kuala Lumpur**, which is around 30%. Moreover, the new Board of Trade will likely reciprocally lower tariffs on about USD30bn worth of non-sensitive goods, which account for about 10% of China's exports to the US in 2025.

Surging export growth in electrical products

Export growth of electronic products in value terms continued to surge amid the global AI upcycle, primarily driven by price effects rather than real volumes. Growth of integrated circuit exports surged further to 111.0% y-o-y in May from 100.0% in April, as global chip prices remained elevated. Export growth of automatic data processing (ADP) equipment and components (mainly computers and parts thereof) rose to 66.1% y-o-y in May from 46.9% in April. Growth of mobile phone exports jumped to 43.9% y-o-y in May from 11.0% in April, which was also driven by price effect due to surging input costs.

On transport equipment, growth of auto exports (including chassis) remained elevated at 39.3% y-o-y in May, though down slightly from 43.9% April. Growth of auto spare part exports declined to 5.1% y-o-y in May from 6.6% in April. Growth of ship exports rebounded sharply to 29.7% y-o-y in May from -15.0% in April.

Export growth of some labor-intensive products broadly improved on the margin but remained negative in May. In particular, export growth of clothing, shoes, bags and toys came in at -4.1% y-o-y, -10.3%, -4.9% and -7.0%, respectively, in May from -2.2%, -17.1%, -11.4% and -12.4%, in April.

Import growth remained elevated amid surging energy and chip prices

Import growth remained elevated at 27.4% in May, up from 25.3% in April and above

market expectations (Consensus and Nomura: 26.0%), driven by price effects from energy and AI-related tech products. On crude oil imports, its value growth climbed to 15.3% y-o-y in May from 13.2% in April, purely driven by surging global oil prices. In volume terms, however, it dipped further to -29.0% y-o-y in May from -20.0% in April.

For other types of imports, non-oil ordinary imports value growth was largely unchanged at 12.1% y-o-y in May, (April: 12.5%). Value growth of processing and assembly imports, which are more AI-related, surged further to 44.9% y-o-y in May from 34.8% in April, amid rising prices of AI-related products, including memory chips. Growth of integrated circuits in value terms surged further to 68.3% y-o-y in May from 54.6% in April, while in volume terms it turned negative, falling to -1.1% y-o-y from 11.3%.

Import volume growth for other key commodities were mixed. Volume growth of copper and coal improved to 3.6% y-o-y and -7.7%, respectively, in May from 2.3% and -12.6% in April. Volume growth of iron ore ticked down to -0.4% y-o-y in May from 0.7% in April.

Volume growth of soybeans plunged to -15.3% y-o-y in May from 41.0% in April.

Fig. 1: Merchandise trade related indicators

Merchandise trade related indicators	May 26	Apr 26	Mar 26	Q1 26	2025	2024
Exports (% y-o-y)	19.4	14.1	2.5	14.7	5.5	5.8
By destination: the US	37.3	11.1	-26.0	-16.3	-20.0	4.9
European Union	7.3	13.6	8.9	21.1	8.4	3.0
Japan	10.7	4.2	3.5	6.9	3.5	-3.5
ASEAN	24.7	15.6	7.9	20.5	13.4	12.0
Imports (% y-o-y)	27.4	25.3	28.1	23.0	0.2	1.0
By origin: the US	20.8	10.5	1.1	-17.6	-14.6	-0.1
By type of trade:						
Ordinary imports	12.5	12.8	16.8	11.8	-4.2	-3.1
Non-oil ordinary imports	12.1	12.5	23.3	16.4	-3.1	-2.8
Crude oil imports	15.3	13.2	-4.4	-4.7	-8.8	-3.9
Processing & assembly imports	44.9	34.8	43.8	34.8	11.9	5.7
Commodities, in volume terms						
Crude oil	-29.0	-20.0	-2.8	8.9	4.4	-1.9
Iron ore	-0.4	0.7	11.5	10.5	1.8	4.9
Copper	3.6	2.3	-10.6	-14.2	-6.4	3.4
Coal	-7.7	-12.6	0.9	1.3	-9.6	14.4
Soybeans	-15.3	41.0	15.1	-3.1	6.5	5.7
Trade balance (USD bn)	105	85	51	263	1183	993
By destination: the US	26	23	17	65	280	361

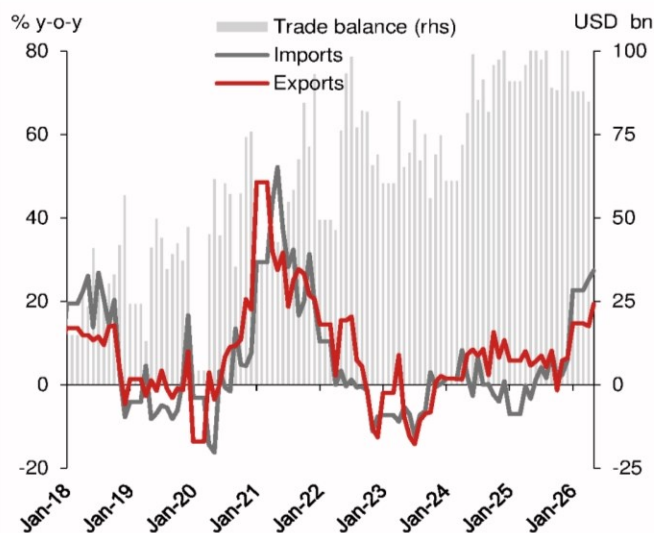
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 2: Export by key product

Major export goods (in USD terms)	May 26	Apr 26	Q1 26	2025	2024	May 26
	y-o-y, %					Contribution to export growth (pp)
Vehicle						
Motor vehicles and chassis	39.3	43.9	58.5	21.4	15.5	1.49
Automobile spare parts	5.1	6.6	4.7	2.5	6.6	0.13
Electrical products						
Automatic data processing equipment and components	66.1	46.9	26.7	-1.4	9.9	3.38
Integrated circuits	111.0	100.0	77.5	26.6	17.3	5.91
Mobile phones	43.9	11.0	-4.7	-9.4	-3.2	0.95
Audio-video equipment and parts	19.1	8.2	13.2	5.5	4.6	0.19
Liquid crystal display panels	-5.2	-3.4	15.3	11.0	9.0	-0.05
Mechanical products						
Universal mechanical equipment	2.4	-3.4	7.1	6.1	14.2	0.04
Ships	29.7	-15.0	48.7	27.0	57.3	0.39
Medical devices	17.3	14.9	11.5	6.0	7.0	0.09
Property-related products						
Ceramic products	-53.2	-55.9	9.2	-3.3	-15.7	-0.35
Home electric appliances	9.5	7.2	1.5	-3.9	14.0	0.25
Lighting and parts	-11.8	-19.7	-5.3	-12.4	-0.2	-0.13
Furniture and parts	1.9	-3.7	3.0	-6.2	5.7	0.03
Commodities & industrial products						
Steel products	-2.3	-8.3	-10.8	-1.3	-1.1	-0.05
Unwrought aluminum and aluminum products	38.4	31.5	16.5	-3.3	15.2	0.23
Petroleum products	35.6	8.3	3.6	-8.5	-13.3	0.32
Rare earth	237.4	196.5	-9.0	4.6	-36.0	0.01
Agricultural products						
Aquatic products	5.1	3.8	5.3	1.1	4.1	0.14
Grain	-1.2	0.9	-3.8	0.0	1.3	-0.01
Fertilizers	-25.5	-13.9	8.8	27.3	-18.9	-0.02
Chinese herbs & medicines	7.5	46.0	22.6	57.9	-11.5	0.02
	-1.2	9.1	10.8	-7.2	-0.4	0.00
Labor intensive products						
Plastic products	12.7	8.0	7.5	-1.4	5.2	0.37
Bags & containers	-4.9	-11.4	-1.1	-13.5	-3.3	-0.05
Garments and clothing accessories	-4.1	-2.2	-0.4	-5.0	0.0	-0.18
Footwear	-10.3	-17.1	-8.0	-11.3	-5.0	-0.13
Toys	-7.0	-12.3	-14.8	-12.7	-1.7	-0.07
Textile, yarn and fabrics	-0.3	1.0	2.8	0.4	5.5	-0.01
Electrical-mechanical products	27.4	20.3	21.4	8.3	7.4	16.40
Hi-tech products	51.0	39.1	28.6	7.4	4.7	12.00

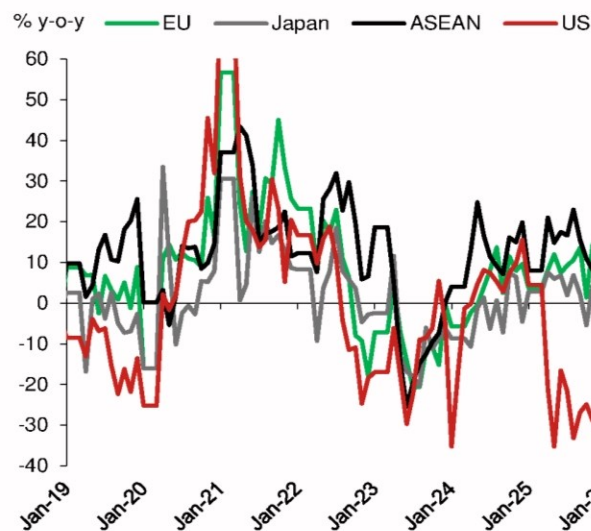
Note: Key products are recombined items by HS code. Agricultural, electrical-mechanical and high-tech products are broader categories that may overlap with each other and other key products.

Source: General Administration of Customs, Nomura Global Economics.

Fig. 3: Export growth, import growth and the trade balance

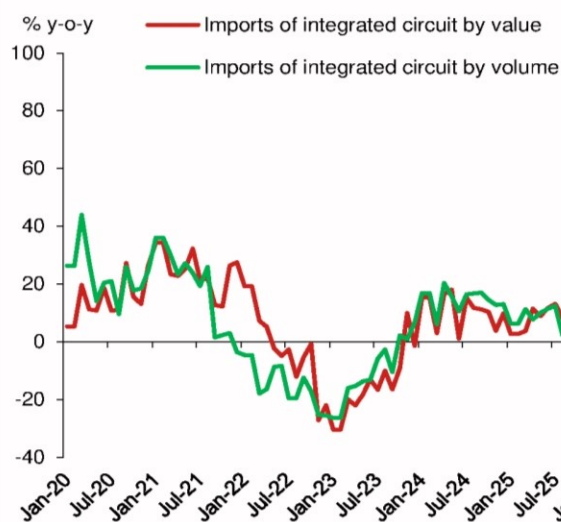
Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

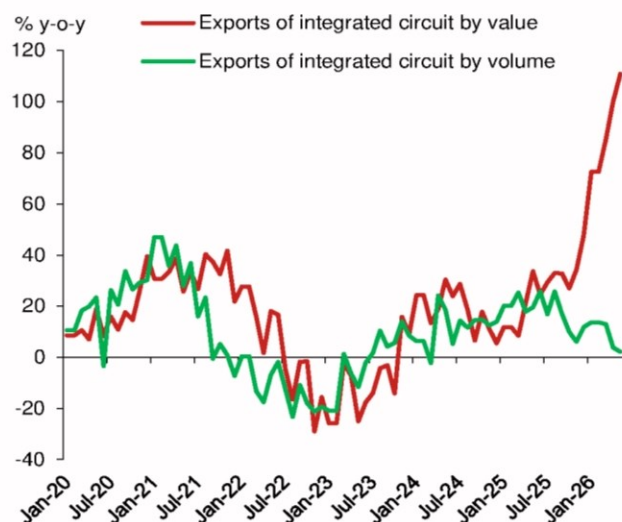
Fig. 4: Breakdown of exports by destination

Note: We use the average of January-March data to largely smooth out the CNY distortions.

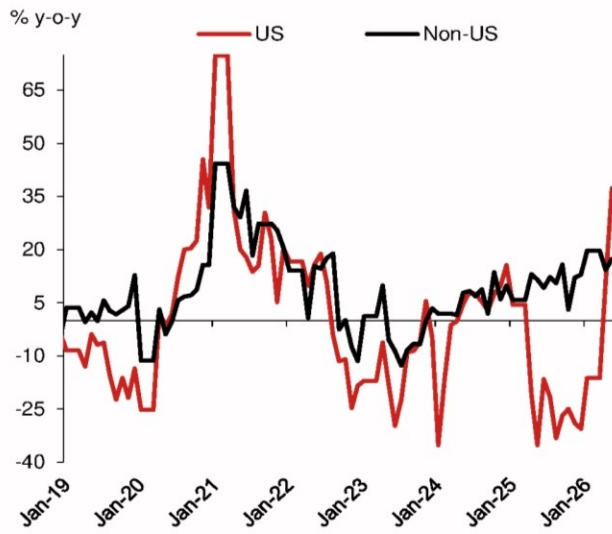
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 5: Growth of integrated circuit imports rose to 68% y-o-y in April, with a sharp divergence between value growth and volume growth

Source: General Administration of Customs, Wind, Nomura Global Economics

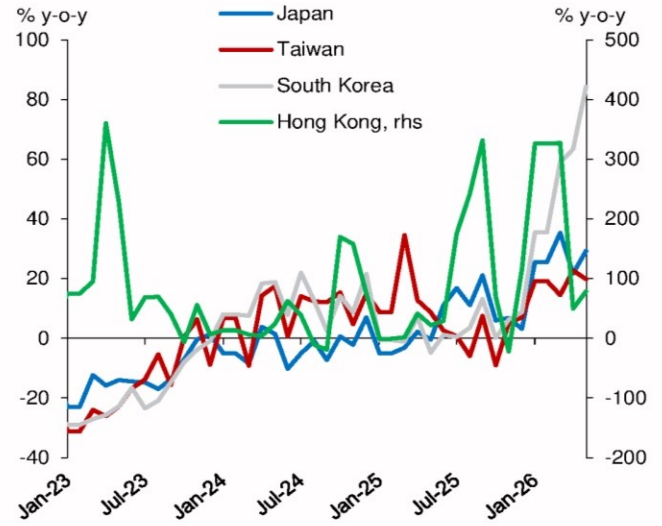
Fig. 6: Growth of integrated circuit exports surged to 111% y-o-y in April, with a huge divergence between value growth and volume growth

Source: General Administration of Customs, Nomura Global Economics

Fig. 7: Export growth to the US and non-US destinations

Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 8: Breakdown of imports by type of trade

Source: General Administration of Customs, Wind, Nomura Global Economics

Appendix A-1

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